

Who killed (Bill) Bailey Brothers?

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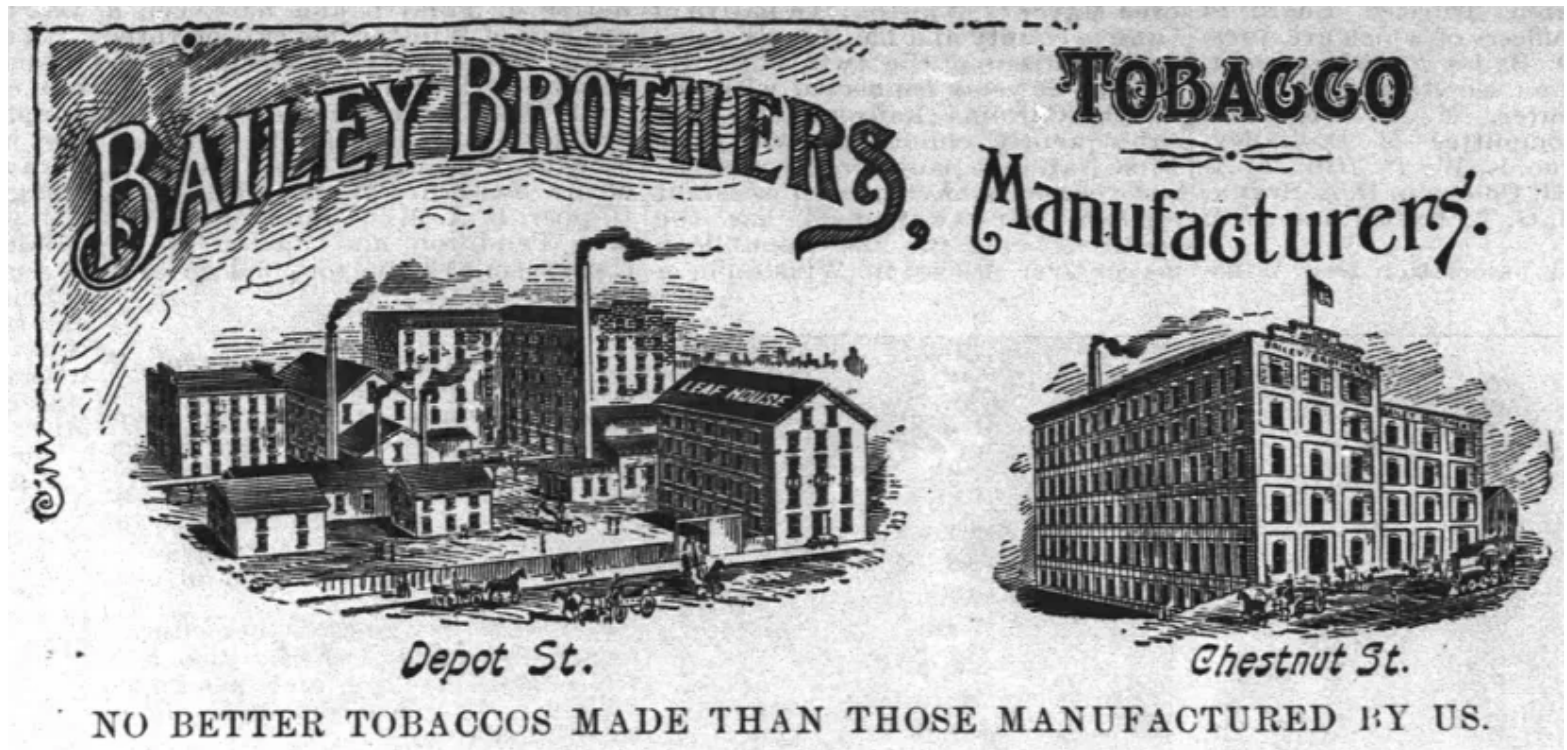
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The area was known as Long Branch because it lay in the fork of two creeks, one called Long Branch, which drained into Salem Creek. It began as a mostly residential neighborhood for people who worked in the tobacco factories along the railroad tracks. It was not a pleasant place to live because of the noise and smoke from the factories and the trains. The housing was terrible...the Sanborn Insurance maps identify most of the buildings as “tenements” or “shanties”. Water came from a few shallow wells, so there was more than enough disease to go around. Here and there a single outhouse served multiple households. But the landlords could get away with murder because the people worked 60-70 hour weeks for pennies per hour and because they had zero political power. The population was mostly black, but there were whites interspersed throughout. Vine Street, at the heart of the area, was almost exactly 50-50 black and white.

Now that Vine Street is becoming the new center of the Winston-Salem universe, we need to know about its past.

Although it is one of the shorter streets in the city, extending only three blocks, it has seen more drama and change than any other. Thus this four part series. Part I, “Cocaine Alley”, covering roughly the period from the late 1870s to the early 1920s, will deal with the ongoing war between the city and law abiding citizens on one hand and a small group of criminal entrepreneurs, headed by Cora Smart and Watty Grier, on the other. Part II, “Camel Revolution”, will show how the stupendous success of a cigarette was able to accomplish what the city fathers could not by simply building over the drug and gambling and prostitution dens...in an unprecedented frenzy the R.J. Reynolds Tobacco Company bought or built nearly 100 buildings in the area between 1912 and the early 1930s. Part III, “Human Rights”, is about the workers who were left behind by the Camel wealth machine, and particularly, it is about a group of women who worked as stemmers in plant 60, women who were fed up with peeping tom foremen and being paid ten cents an hour less than the men for doing the same work, who one day walked off the job and thus changed the city forever. Of course, Bailey Brothers, whose complex is a crucial part of the future of the Innovation Quarter, played an important roll in much of this, but their story is so complicated and dramatic that I have decided to deal with them separately, thus the Prelude, “Who killed (Bill) Bailey Brothers?”



In the end, Bailey Brothers was the oldest tobacco manufacturer left standing in Winston-Salem. For over 50 years they were one of the most successful. But in the spring of 1923, the walls came tumbling down. Were they the victims of a conspiracy? Almost certainly. Was Buck Duke involved? Maybe. Or was it someone much closer to home? We shall see.

From day one of European North America, tobacco was king. The survival of the Jamestown colony depended upon it. And during the American Revolution, in one of his appeals for money, George Washington said “If you cannot send money, send tobacco.” He wasn’t going to smoke it or chew it...he was going to trade it for arms and ammunition.

Before 1870, tobacco manufacturing was little more than a cottage industry in the USA. In the late 18th century, Matthew Miksch began a small operation in Salem, NC. In 1840, Mifflin Marsh started the Marsh Wheeling Cigar Company in his West Virginia home. That same year, following a disastrous fire, the city of Boston banned all smoking within the city limits. The 1860 Census for Virginia and North Carolina listed 348 tobacco factories, all of them tiny.

Only six made smoking tobacco, as a byproduct of chew. Around that same time, John R. Green began making “Best Flavored Spanish Smoking Tobacco” near Durham. The package had a picture of a bull on it. After being acquired by the W.T. Blackwell Company, this became the famous “Bull Durham” smoking tobacco. Both the Union and Confederate armies issued tobacco products as rations and the first federal tobacco tax was enacted to help pay for the war. It raised about \$3 million. As they were passing near Durham at the end of the war, Union troops looted supplies of Blackwell’s product. Soon, orders began arriving from the North for that Durham tobacco with the bull on it.

The Immense, Cut-out “Bull” Durham Sign is a familiar sight in the outfield of Baseball Parks! Hitting this “Bull” Sign with a fairly-batted fly-ball for a \$50.00 prize is a feature of the National Game!



Baseball Players Won \$10,550 for “Hitting the Bull” Last Season!

THE famous cut-out “Bull” Durham sign is erected in the outfield of league baseball parks throughout the United States. Every player who hits this giant “Bull” sign with a fairly-batted fly-ball in a regularly scheduled game, is presented with a check for \$50.00 by the manufacturers of “Bull” Durham Tobacco. Last season these cut-out “Bull” Durham signs were hit 211 times in league games for a grand total of \$10,550. Some of the famous baseball players who received \$50.00 checks for “hitting the Bull” are: Chick Gandil, Walter Johnson, Ping Bodie, Jack Murray, Hal Maggart, Hans Lohert, Gabby Cravath and Ben Houser. An additional prize of 72 sacks of “Bull” Durham is awarded for every home-run made in regular league games in parks where these “Bull” Durham signs are erected. Last year, baseball players won 257,400 sacks (\$12,870 worth) of “Bull” Durham by batting out 3575 home runs! Making a grand total of \$23,420 awarded to baseball players by the manufacturers of “Bull” Durham Tobacco during the season of 1912.

GENUINE
“BULL” DURHAM
SMOKING TOBACCO
 (FORTY “ROLLINGS” IN EACH 5-CENT MUSLIN SACK)



Baseball and “Bull” Durham have been the nation’s two favorite forms of enjoyment since 1859! Baseball, the good, clean, honest game—and “Bull” Durham, the good, clean, honest smoke—have both earned the loyal support of the millions of “fans” throughout the United States, in Panama, Hawaii, the Philippines and other parts of the world. Neither has a rival. Every real baseball “fan” considers a pipet of “Bull” Durham, or a cigarette rolled from this grand old tobacco, essential to his enjoyment of the game.

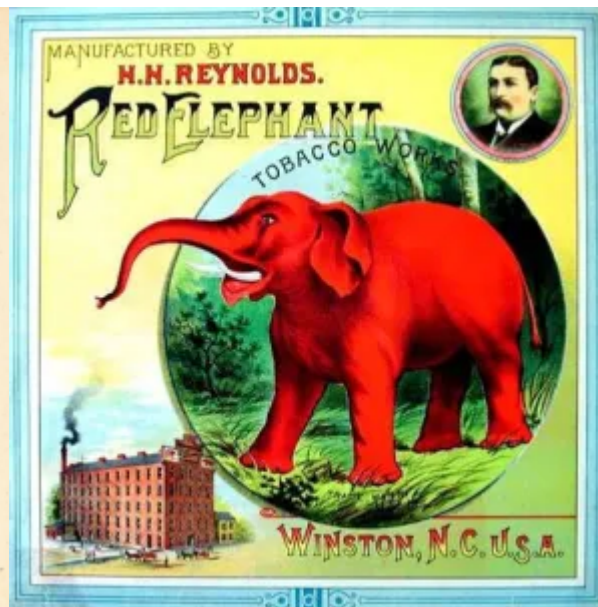
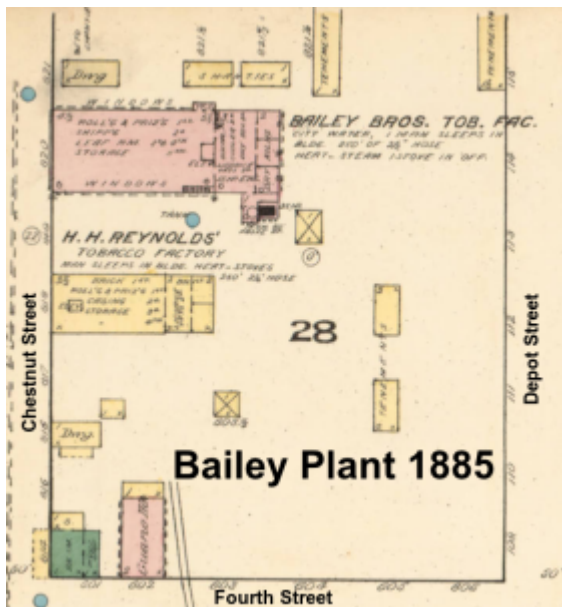
“Bull” Durham has been the standard smoking tobacco of the world for three generations—smoked by more millions of men than all other high-grade smoking tobaccos combined! No matter where you are, you can always get “Bull” Durham, and get it fresh. It is sold by more dealers throughout the world than any other single article of commerce. Get a 5-cent muslin sack at the nearest dealer’s today, and learn why over 352,000,000 of these sacks were sold last year alone!

A book of “papers” free with each 5-cent muslin sack.



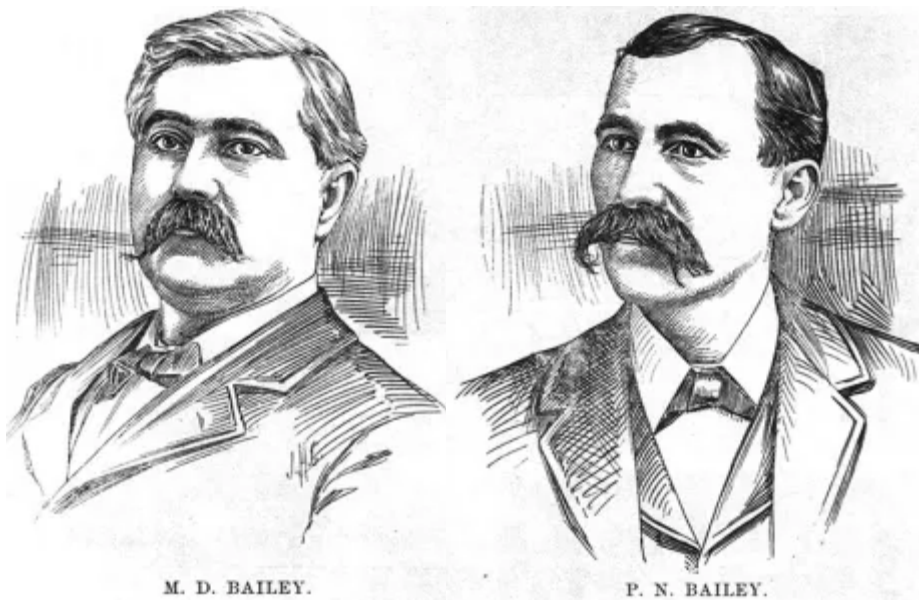
Blackwell’s Durham Tobacco Co.

During and after the Civil War, Mary Vance Roberson manufactured cigars in her home near Kernersville. After the war, Washington Duke began manufacturing in a cabin at his home outside Durham. Around that same time, the Ogburn family had a small operation near the current Smith Reynolds airport and Hardin Reynolds had a similar operation at his home on No Business Mountain in Patrick County, Virginia.



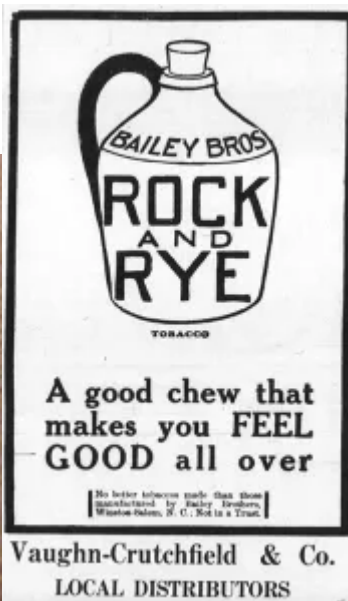
Bailey Brothers moved into the former Winstead Tobacco factory in 1879. In 1883-84 they built a new 4 1/2 story brick plant next door. They leased the old plant to R.J. Reynolds brother Hardin. When Hardin moved into his new plant in December 1885, the Baileys reclaimed the old building for storage.

The Twin City got its first serious tobacco factory in 1870 when Hamilton Scales opened his plant in Winston. That same year, two brothers, Mumford and Philip Bailey, joined another local man to create the firm Baileys and Dulin in Statesville. By 1874, they had bought Dulin out and the firm of Bailey Brothers was born. But by then, the tobacco action was already focusing on Winston, so in 1879, the Baileys leased the former Winstead tobacco factory at the end of the rail line between Fourth and Fifth Streets in Winston. They would remain there to the bitter end.



Mumford was in charge of the office and finances and did most of the leaf buying. Philip ran the factory. By 1885, they were approaching a million pounds of manufactured product per year while employing 125 hands. They made all types of chewing tobacco, the main brands being Nantahala, Old Bob, Ellen Fisher, Planter's Choice, O.K. and, of course, after the song became a big hit in 1902, Bill Bailey. They were a perfect complement as business partners. Mumford was outgoing and effusive, Philip was quieter and focused. Both assumed leadership roles in the community, but Philip tended to stay behind the scenes, whether at First Presbyterian Church or in civic affairs, while Mumford always seemed

to be running for something, in the church, in the Masons and in the community.



In 1892, the Forsyth County grand jury indicted the county commissioners and magistrates for contempt of court for failing to take steps to improve the courthouse. [See: Commissioners indicted, 1892](#)

Mumford ran for county commissioner and won, then got himself appointed chairman. He set to work to fix the matter. In 1897, Forsyth County's grand new courthouse, designed by famous southern architect Franklin Pierce Milburn, opened for business on the original courthouse lot. That being done and having served three two year terms as chairman of the commission, Mumford stepped down and looked for something else to do.



It didn't take long. There was significant corruption on the Winston town commission. Mumford became chairman of the local Democratic Party, then went to a town commissioners' meeting and began attacking members of his own party, who he alleged had used city funds to build water mains and sewage lines to serve property that they owned. And that was just the beginning. He continued sniping at the town commissioners for some years, eventually losing his party chairmanship.





Through 1907, the mayor, who chaired the commissioners' meetings, was elected by vote of the commissioners. But in 1909, the rules changed and the mayor was to be elected by popular vote. The Democratic Party decided that there should be a primary in all races, to be held on April 26 in advance of the general election on May 4. Mumford announced that he would oppose the popular Democratic mayor Oscar B. Eaton, but that he would not participate in the primary. Then he said that he would participate, then again that he would not.



He published a number of statements in the press accusing the mayor and the commissioners of financial irresponsibility. There was frequent mention of a missing \$350,000, which the mayor and commissioners denied was missing. Mumford did not come close to winning on May 4, but as quickly became apparent, his real target had been the town commissioners, only one of whom had been reelected.





Mayor Eaton was outraged, claiming that Mumford had used underhanded tactics, so announced that he would serve his term as mayor, but would never again run for office in the Twin City.



That did not last long. Two years later, the towns of Winston and Salem were formally joined as a single city. Cooler heads prevailed and Eaton, who's eleven years in office had been some of the best in Winston history, was persuaded to run for mayor of the combined city, a race which he easily won.



Meanwhile, Bailey Brothers was one of the top four tobacco manufacturers in the city that dominated the tobacco business. But James Buchanan "Buck" Duke, using his Durham and New York based American Tobacco Company, was determined to corner the world tobacco market. In self defense, R.J. Reynolds and P.H. Hanes, the two local giants, began absorbing the smaller local companies. Even that was not enough. In 1900, Hanes sold out to Reynolds and went off to explore the textile business. And soon, Reynolds secretly became a part of Duke's combine, leaving a tiny handful

of local manufacturers, led by Bailey Brothers and Taylor Brothers, who were determined to remain independent. Philip died in 1905, leaving a large, somewhat messy estate. That inspired Mumford to incorporate. Several second generation Bailey's joined the firm.

They used superior leadership and better efficiency to avoid the combine. And they were always looking for innovative ways to get an edge on the competition. The Baileys began taking advantage of major public events to publicize their products. A description of their float in a huge parade in Charlotte in 1906 gives us an idea of how important they thought such matters were: "The float...was nine feet wide and 22 feet long...drawn by six black horses...the body and canopy of the float were made of tobacco..." Several banners proclaimed "Bailey Brothers", "Not in a trust" and "Independent".

APOSTLE OF SUNSHINE HITS THE PIKE

Lexington Dispatch: Mr. C. E. McCrary, apostle of sunshine and distributor of Bill Bailey, Rock & Rye and other famous brands of plug tobacco, manufactured by Bailey Brothers, "Not in a Trust," has gone to work again. He hit the road yesterday morning, after sending notice to his employers to put on the night shift and push every machine in their outfit to the limit. He says that he is going to "let them have it—they've been crying for it long enough," and he will come mighty near doing it.

They also enthusiastically participated in the independent manufacturers association and its many expositions in major cities. One national magazine described one of their exposition booths as being the largest and best designed present and mentioned that their brochure was printed, with many illustrations, on the finest paper in rich, full color, with gold highlights. Later, when they were on the verge of producing cigarettes for the first time, they sent President Taft 120 cigarettes of six different blends in a box designed by Tiffany.

They showed their first interest in self-generated electric power in 1912 when they installed a modern Westinghouse multipolar generator and switchboard in their main plant. And they expanded their plant capacity in 1908, 1915 and

1920. In 1921, they reported a 33 1/3% increase in business over 1920. That same year, the directors approved the manufacture of Bailey's first cigarette and an increase in capital to \$3 million. Mumford hired Tom G. Taylor to oversee the sale of new stock.

In 1912, Reynolds had test marketed four brands before choosing Camel. Bailey developed more blends than Reynolds had, but did no test marketing, selecting the final blend internally. They had contracted with P. A. Raftes of New York, who had been Philip Morris's blending guru, to work with their own expert, Reginald Bailey, to produce the final product. Through Raftes, they also gained access to a network of warehouses in Greece and Turkey to ensure a steady supply of quality Turkish tobacco.

A new power plant, containing a 100 horsepower Erie City Steam Boiler was built. The new cigarette machinery was installed in their original wood framed factory on Chestnut Street. It would have a temporary capacity of one million cigarettes per day. A much larger and more modern factory, to be located to the rear of the old plant, was in the planning stages. Mumford gave a tentative date for beginning production as April 1, 1922. He said that the name of the cigarette would be revealed on the day that it went on sale.

Of course, the name had already been selected and was being mentioned in the tobacco journals, so enterprising reporters could have discovered the new name well in advance. On June 1, 1922, Bailey Brothers began delivering the first cartons of Carolina Royal cigarettes to jobbers in the local area. The first day order was the largest in cigarette history. Carolina Royal was an immediate success. The Bailey factory operated around the clock. By early 1923, Carolina Royal had blanketed the South and was becoming a popular item as far north as New York. The first year's sales were roughly the same as Camel had achieved.

CAROLINA ROYAL

CAROLINA ROYAL

WE Beg To Announce To The Trade
That We Will Be Prepared To Offer

Carolina Royal
Cigarettes

FOR SHIPMENT JUNE 1ST, 1922

Foil Package 20's
200 To Carton

Bailey Bros., Inc.
Winston-Salem, N. C.

CAROLINA ROYAL

CAROLINA ROYAL

"Made in the Old North State"

CAROLINA

ROYAL

CIGARETTES

"mildest of all"



If you ever "got" anything before—get "*this.*"

Carolina-Royal Cigarettes are *mild.*

Carolina-Royal Cigarettes are *mild.*

Carolina-Royal Cigarettes are *mild.*

That's all, gentlemen—
and that's enough.

Try 'em to-day.



BAILEY BROTHERS, Inc.

Winston-Salem, N. C.

U. S. A.

Meanwhile, Mumford had hired the Charlotte architectural engineering firm of Lockwood, Green & Company to design and oversee the building of his new five and one-half story, \$100,000 factory. In the summer of 1922, they put the job out for bids from contractors. In consultation with several builders, they decided that there was not enough room for the new factory and its ancillary buildings on the existing site. So the project was paused as the search began for more land. Thanks to booming sales of Camels, the area was already quite crowded, but in the spring of 1923 Mumford purchased the former Vaughn & Company refrigerated storage building on East Fourth Street between Depot and Vine Streets and preparations began. But that did not last long.

WILL OPERATE ON THE UNION SCALE

Bailey Brothers, Inc., Tobac- co Factory 100 per cent Unionized

Bailey Brothers, Inc., manufacturers of plug and smoking tobaccos, as well as cigarettes, have recently unionized their shop, and every tobacco worker in the employ of this firm is a member of the Tobacco Workers' Union. This announcement was made yesterday by the management of the company.

The plant will now operate exclusively on an eight hour basis and it is the only completely unionized tobacco plant south of Richmond, Va. The management states that the shop was unionized by mutual agreement, both the management and the employees feeling that it would bring about a closer co-operation between employer and employee and increase the efficiency of the plant.

The agreement effects about 200 employees of the company and went into effect October 10. The union men state that they intend

to show the people of Winston-Salem what a completely unionized plant means in the way of efficiency, and are much elated over the hearty cooperation given them by Bailey Brothers.

In October, 1922, Mumford Bailey had accepted the organization of his workforce by the International Tobacco Workers Union. In fact, he began featuring a "union made" tagline in most of his ads. That did not sit well with his fellow tobacco manufacturers, especially R.J. Reynolds., whose workers were still doing 12 hour days, 60-70 hour weeks compared to Bailey's 8 hour day, 48 hour week and time and one-half for overtime. To add insult to injury, in April, 1923, he announced an across the board raise of 20% for all his employees. For some months, there had been unsourced rumors circulating, targeting Bailey brothers stock sales, saying that the company was insolvent and unable to pay its debts. To finance its cigarette startup until stock sales could catch it up, the company had borrowed \$400,000 from Wachovia Bank & Trust. In later testimony, Wachovia vice-president Robert Hanes would say that Wachovia had farmed out \$300,000 of that to other institutions and kept \$100,000 in house. Suddenly, about the time that Bailey announced the raises for their employees, all of the loans, none of them yet mature, were called.

WAGES INCREASED BY BAILEY BROS.

Local Tobacco Manufacturers Increase Pay of Employees 20 Per Cent

Bailey Brothers, manufacturers of tobacco products, yesterday announced a 20 per cent increase in the wages of their employees. This increase became effective yesterday. This company signed an agreement with locals unions Nos. 145 and 146 of the Tobacco Workers International union which has headquarters at Louisville, Ky. The agreement also fixes 48 hours

as the weekly hour basis and provides pay at the rate of time and a half for all overtime.

Bailey Brothers employ approximately 200 employees, about half of whom are white and the other half colored. The increase in wages will add to the daily pay of the employees from 40 to 58 cents, depending upon the nature of work done.

M. D. Bailey, of Bailey Brothers, in speaking of the increase in pay, said that the demand for Bailey brands of tobacco products is constantly growing and that the company felt that the results of the augmented business should be passed along to their employees in the form of larger wages. The demand for Carolina Royal cigarettes exceeds considerably the facilities of the company to meet, Mr. Bailey says. Bailey's Supreme and Bambino smoking tobaccos are also in brisk demand as well as the other products manufactured by the company.

The agreement was concluded with a committee of the local tobacco workers unions. E. Lewis Evans, secretary and treasurer of the international union has been conferring with the committee and with Bailey Brothers for some time.

In May, unable to extract explanations for the calling of the loans and unable to pay their day to day operating costs, Bailey Brothers was placed in the hands of a creditors committee, with the stated hope of avoiding bankruptcy. But on December 15, the trustees filed a voluntary bankruptcy petition, listing liabilities of \$711,000 and assets of about \$2.6 million.

On June 3, 1924, a Federal grand jury in Greensboro indicted Mumford Bailey and several dozen of his employees for mail fraud, alleging that they had lied about the finances of the company during their stock selling campaign. Charges were filed against 49 men and Federal marshalls began arresting the accused. Bond was set at \$10,000 each for the top officers, \$5,000 each for most of the rest, a total of \$285,000, about \$4 million in today's dollars.

\$285,000 TO BE

ASKED IN BONDS IN STOCK CASES

From Men Indicted for Selling
Stock In Bailey
Brothers Tobacco Co.

OVER MILLION IN
STOCK WAS SOLD

In This and Adjoining
States—Indictments Made
By Grand Jury

No less than \$285,000 in bonds will be required by the United States government of the 49 men indicted by a federal grand jury here this week for using the mails to defraud in selling stock in Bailey Brothers, Inc., Winston-Salem concern. That is, of course, if all the men are arrested. Officials of the bankrupt company will probably arrange bond without any delay, but some of the stock salesmen will be hard to locate, as many of them are known to be in distant states.

Recommendations as to the amount of bail in which each of the indicted men is to be held was made by postal inspectors to the grand jury as well

as to District Attorney Frank A. Linney.

IN \$10,000 CLASS

The following defendants come under the \$10,000 bail each class:

Fred Bailey, C. B. Bailey, Frank R. Bailey, P. S. Bailey, M. D. Bailey, Jr., Reginald Bailey, M. E. Bailey, Sr., and Tom Taylor.

Those who will be required to post \$5,000 each to remain at liberty until the case is called for trial here, which will probably be next December, are:

Webb S. Alexander, Edward Arnold, H. S. Baucum, M. L. Crews, E. A. Ewing, Frank P. Goodwin, Joseph H. Gwynn, Glenn Harris, T. J. Hatchett, Y. Heflin, S. H. Hendrix, A. H. Huggins, E. W. Jordan, C. E. Humphries, Dr. H. G. Larsen, Frederick J. Lassiter, George Leach, C. B. McBrayer, Glenn M. McCall, E. G. Matthews, Lawrence Matthews, F. G. Middlebrook, C. T. Moser, W. E. Nissen, J. C. Pass, Samuel F. Penry, Jack Quimby, C. W. Rawlings, James M. Richardson, D. H. Shoaf, Edom Smawley, Henry A. Tuttle, J. C. Vining, L. H. Underwood, J. B. Waldrop, E. L. Webster, H. V. Whitlark, B. F. Williams, John G. Wimbish, John M. Woltz and Jule Young.

The Bailey property had been put up for sale at auction in May, but Mitchell S. Lyon, the trustee, had turned down an upset bid. A second auction had brought a top bid of \$275,000, but just a few days after the indictments were handed down, George T. Penny, a High Point banker and investor, representing a syndicate of northern buyers, placed an upset bid of \$288,750. The syndicate also offered to assume a mortgage of \$37,500 on the Vaughn & Company property which had been purchased as the site of the new cigarette factory, bringing the total price to \$326,250.

George Penny and Associates To Buy Bailey Brothers, Inc.

Will Reorganize and Continue Manufacture of Tobacco—Price

Will Be \$326,500—Upset Bid Has Been Made and Acceptance Is Regarded As Certain.

Penny told reporters that the group planned to reopen the plant under a new name, with a new, reformulated cigarette plus the old Bailey chewing and smoking tobacco brands. But a number of experts complained that the bid was less than half the true value of the property. It is unclear whether that had any effect, but Lyons again “turned the ticket”.

A third auction was held on July 16 at the courthouse in Winston-Salem. Lyons ruled that the Vaughn & Company mortgage had nothing to do with the property and that the bidding would begin at \$288,750, the amount of Penny’s previous upset bid. Someone bid \$292,000, then Penny bid \$300,000 and the hammer fell. This time there were no upset bids. Penny told reporters that his group’s plans for the property were unchanged. This time he mentioned that cigarette manufacturing would be scaled back.

The sale was confirmed by bankruptcy referee L.C. McKaughan on August 19. The next day, Penny announced that he had sold the property to the R.J. Reynolds Tobacco Company. His story was that his group was insistent on moving the Bailey plant to another city, and that since much of the value was in the real estate, that made no sense to him, so after being rebuffed by other unnamed potential buyers, he had accepted Reynolds offer. The official history of the R.J. Reynolds Tobacco Company is a bit vague on this subject. It implies that Reynolds bought the property at auction for \$337, 754.14, which it did not. If the price quoted by Reynolds is correct, Penny’s group made a tidy little profit on the deal and Reynolds got a great bargain. They took possession of the property on September 4, 1924.

Meanwhile, preparations were underway to try the Bailey group for mail fraud. Just before Christmas, 1924, W.L. Ashly, a Greensboro insurance adjuster who owned eleven shares of Bailey Brothers stock, filed suit against the R.J. Reynolds Tobacco Company, Wachovia and other banks and several individuals charging that they had conspired to destroy Bailey Brothers. He asked \$1,100 in personal compensation for his shares and over \$2.1 million on behalf of other stockholders.



FIRM PLOTTED RUIN

Officials Of Reynolds Factory And Wachovia Bank Blamed

(Special to The Journal)

Greensboro, Dec. 23. — Charges that officials of the Wachovia Bank and Trust company, with headquarters at Winston-Salem, conspired and plotted with the R. J. Reynolds Tobacco company, of the same city, to wreck Bailey Brothers Tobacco company, formerly doing business at Winston-Salem, are contained in a complaint filed with a suit in federal district court here today.

It is further charged that execution of the alleged plot caused a loss to stockholders and creditors of Bailey Brothers which went bankrupt in 1923, of two million, one thousand one hundred thirty nine dollars and sixty-six cents.

Brought by Ashly

The suit was brought by W. L. Ashly of Patrick county, Virginia, for himself and all other preferred and common stockholders of Bailey Brothers, who may care to come in and make themselves party to the action against the Wachovia Bank and Trust company, R. J. Reynolds Tobacco company, Mitchell S. Lyon, trustee; W. R. Leak, R. M. Hanes, F. H. Fries and W. N. Reynolds.

Ashly himself seeks damages of eleven hundred dollars as the owner of eleven shares of stock, and alleges that others lost the remainder of the huge sum. He alleges that the two defendant companies are very closely related in what might be termed interlocking directorates.

The complaint itself is a legal document of 26 pages, with twenty-two allegations, tracing the history of Bally Brothers as tobacco manufacturers from 1875 until the creditors' committee took charge May 15, 1923.

The complaint entailed 26 pages of allegations, focusing on the interlocking directorates of Reynolds and Wachovia and the calling, without reason, of immature loans by Wachovia, Bank of America and other institutions. He went on to charge that the creditor's committee set up the previous May had been controlled by Reynolds and Wachovia and had badly mismanaged the company for the preceding eight months. Reynolds and Wachovia executives rushed to deny

Ashly's charges in the press, but on New Years eve Federal marshals began serving papers on the defendants.

The mail fraud trial opened at the Federal courthouse in Greensboro on January 26, 1925. There were 49 defendants at the start. One died before trial. The prosecutors decided to nol pros three more before trial began. On February 4, when the prosecution finished presenting its evidence, Judge Webb directed not guilty verdicts against five more. On February 11, the judge sent eleven more home. At that point, one other was in the hospital and two had not appeared as ordered, so the judge sent 26 men to the jury. The next morning, after some legal maneuvering, six more were eliminated, and twenty cases were handed over to the jury. That happened just at the noon recess. Moments after court resumed in the afternoon, the door to the jury room opened. The judge anticipated questions, but the jurors said that they had a verdict. Not guilty on all counts. Most newspaper accounts say that the jury spent 45 minutes on the case, which is highly misleading. Due to the lunch break, most of their time was spent getting into and out of the jury room. It is doubtful that they spent more than five minutes on the case itself.

FREE DEFENDANTS IN TOBACCO CASE

Bailey Brothers' Officials and Salesmen Are Acquitted.

[By Associated Press.]

GREENSBORO, N. C., Feb. 13.—

Twenty officials and stock salesmen of Bailey Brothers, Inc., defunct Winston-Salem tobacco manufacturing concern, were acquitted in the United States District Court here today of charges of using the mails to defraud.

The men were indicted in connection with a stock selling campaign conducted two years ago in North Carolina and Virginia. Shortly after the campaign receivers for the concern were appointed and the business closed out.

The jury received the case shortly before noon and reported immediately after court was resumed this afternoon.

The defendants on trial when the case was given the jury were: M. D. Bailey, Sr., M. D. Bailey, Jr., Reginald Bailey, Charles B. Bailey, Frank R. Bailey, all officers of the bankrupt corporation: Thomas G. Taylor, who directed the stock sales; Webb S. Alexander, E. A. Ewing, Frank P. Goodwin, J. H. Gwynn, Y. Heflin, Fred J. Lassiter, George Leach, J. E. Pass, Jack Quimby, Clarence W. Rawlings, Henry A. Tumble, E. L. Webster and John G. Wimblish, stock salesmen.

Others of those indicted either have died, were not apprehended or were released on directed verdicts.

The prosecution had focused on Tom G. Taylor, the director of the Bailey Brothers stock sales campaign. They presented numerous allegations against him, but Taylor was able to explain every one, and most importantly, he had documentation to back him up. When his testimony ended, legal experts agreed that he had been a "good witness" for the defense. The truth is that the case had mostly been lost when the prosecution called their own witness, Robert M. Hanes, a vice-president of the Wachovia Bank & Trust Company, one of the defendants in the lawsuit. Via the carefully worded questions of the Federal prosecutor, Hanes testimony was predictable. Then the defense began its cross examination. Perhaps the prosecutor had hoped for an incompetent defense attorney. But the first questions dashed that hope. Desperate to avoid what was coming, the prosecutor objected to virtually every question. But the judge was having none of it. Instead of confirming the prosecutors charges, Hanes admitted that during the entirety of the Bailey Brothers stock sales campaign, they had told the truth about the value of the company. Once that was on the record, the rest was merely going through the motions.

Baileys Blame Creditors With Wrecking Firm

*Defendants Attempt To
Show Bankruptcy
Was Forced*

*Former Tar Heel
Weds Negro Woman*

(Special to The Journal)

STATE WITNESSES USED BY ACCUSED

Long Period Of Successful Operation Cited By Defense

BATTLE IS INTENSE

R. M. Hanes Chief State Witness

(Special to The Journal)

Greensboro, Jan. 27.—The defense in the Bailey Brothers Tobacco company stock selling case showed its main line of defense today and with vigorous generalship, sought to make "The best defense a strong attack."

Seize Opportunity

Seizing upon a witness introduced by the prosecution, attorneys for the Baileys and others, 44 in number, charged with using the mails to defraud in a gigantic stock selling scheme, opened their heavy artillery and attempted to show that the Bailey company, long successful in business, was a vigorous concern when it went into the hands of a creditors committee and that then its assets were squandered. Further, it was tried to show that there was no intent to defraud. The defense stubbornly fought every effort of the defense to question their witness and get him to say that the Bailey concern was recommended to prospective buyers of stock as a strong one, that had paid its obligations well and was solvent. This witness was R. M. Hanes, vice-president of the Wachovia Bank and Trust company, Winston-Salem, placed on the stand by Frank A. Linney, district attorney.

Washington, Jan. 27.—Henry W. Faison, a white world war veteran and son of the late Representative John M. Faison, of North Carolina, was married here on the night of January 17 to Annie Nelson, a colored cook. An uncle of the young man, who is prominently connected in the south, came to Washington and had him taken in charge and committed to Gallinger hospital for observation.

He will be sent to St. Elizabeths, the hospital for the insane, and legal steps taken to annul the marriage.

Mr. Faison has been treated for shell shock. He was boarding here where the negro woman cooked, and she secured the license, the preacher and was legally united in marriage to him. Rev. Aquila Sayles performed the ceremony in the presence of a number of negro friends of the Nelson woman.

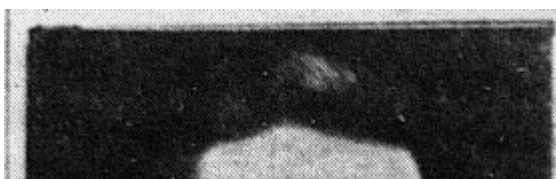
SENATORS HEAR TWO PARK BILLS

Swanson and McKellar Introduce Measures for Playgrounds

ONE PROPOSED IN N. C.

Ashe and Watauga Included in Site

There is a typo in this article. "The defense stubbornly fought every effort of the defense..." should, of course, read "The prosecution stubbornly fought every effort of the defense..."





R. M. HANES

Mumford Bailey wrote a letter to the editors of major newspapers about the case:

The Open Forum

An Editorial Pad for the People.

THE BAILEY BROTHERS.

Member of the Firm Makes Review of the Trial.

To the Editor of The Observer:

The verdict in the Bailey Brothers case was a complete and unmistakably clear vindication of the officers of the company.

The jury reached their verdict in exactly one minute, just long enough to ask, "all in favor of an acquittal, hold up your hands," and all hands went up.

The investigation lasted three weeks and covered thoroughly every phase of the Bailey Brothers affairs.

It was proven that the New York cigarette campaign was a wonderful achievement, and successful.

The value of the real estate was proven by several witnesses to have been worth from \$500,000 to \$1,000,000.

At the time of the stock sale, Bailey Brothers had a surplus of \$181,000 and at its completion the quick assets above liabilities were more than two for one.

In December, 1922, the net worth of the company was over \$2,000,000, proven by a public accountant from New York.

At the time the banks called Bailey Brothers loans, the company was in better condition than at any time in its history, was the undisputed testimony.

It was brought out in the evidence how an officer of the company tried to protect the stockholders by notifying the creditors' committee that it would be held responsible for any dissipation of assets of Bailey Brothers.

The employment of counsel in behalf of the stockholders, and a subsequent judgment for \$10,000 against an officer of the company, was brought out.

All of the stockholders should have heard the testimony.

The trial leaves no doubt in the minds of the people who heard, and followed the case.

I have no regrets of any sacrifices that I have personally made in behalf of the stockholders and hope they have not been made in vain.

It is unfortunate that we were unable to raise sufficient funds to have prosecuted the case more vigorously at a time when bankruptcy could have been avoided; however, my services are still at the disposal of the stockholders any time.

May I take advantage of this communication to thank those who so loyally came to Greensboro and testified in our behalf, and many who wrote and telegraphed during the trial. Those will be the pleasant recollections of a most trying ordeal, when we had to face the influences against us of great corporations.

We are proud for our friends, who kept their faith, whose judgment has been overwhelmingly vindicated, and in behalf of Bailey Brothers I wish to thank you all.

M. D. BAILEY.

Winston-Salem, Feb. 19.

His letter might be a bit partisan, but the facts are essentially as stated. You can decide for yourself what happened. The fact is that Bailey Brothers was gone forever.

In June, W.L. Ashly came back to court and asked for a voluntary nonsuit, which the judge granted. The Bailey Brothers saga was over.

By then, Reynolds had decided to make the Bailey property into a power plant. In 1925-26 they built what came to be known as the “Old Powerhouse”. Over the next half century, Reynolds expanded the capacity of the Bailey power plant a number of times until it was capable of providing most of the needed power for all the downtown Reynolds facilities.